

Hiring Excellence: Building Bench Strength and Succession Planning

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The Executive Problem

You're growing. You need to hire. Most executives outsource this to HR or recruiting—and then wonder why they get the wrong people.

Hiring is the most important decision you make. It determines whether your company succeeds or fails. Yet it's the one you pay the least attention to.

Bad hires cost 2-3x their annual salary (onboarding, training, management time, productivity loss, departure). A \$100K hire gone wrong costs \$200-300K.

Even worse: Bad hires change your culture. One toxic person can demoralize a team.

High-performing companies treat hiring as a competitive advantage. They build bench strength (knowing who's next before you need them), succession plan (who replaces you?), and have a repeatable hiring system that gets better over time.

The Hiring System Framework

Phase 1: Sourcing (Who Could Do This Job?)

Most companies post on job boards and wait for applicants. That's reactive hiring.

Proactive hiring:

Network Actively

- Maintain a relationship list: People you know who *could* do important roles
- Every month, coffee with one person you'd want to hire
- Build network *before* you need to hire

Leverage Employees

- Referral bonus: \$5-10K for hired referrals
- Make it easy: Link to application, track who referred
- Your best people know other good people

Scout Constantly

- Follow competitors' hiring announcements
- Notice impressive people on Twitter, LinkedIn, at conferences
- Reach out preemptively: "I've followed your work. No role open now, but I'd love to stay in touch"

Hire for Cultural Fit, Not Just Skill

- This is controversial but true: Skills are teachable; mindset isn't
- Look for: Curiosity, coachability, willingness to do unglamorous work, alignment with values
- Your company's early people set the culture. Hire for the culture you want, not the one you have

Phase 2: Screening (Can They Do This Job?)

The Phone Screen (30 minutes)

Filter for:

- Basic competence (did they do what they claim?)
- Communication clarity (can they explain their work?)
- Interest level (do they actually want this?)

Red flags: Vague stories, can't articulate impact, disrespectful to current employer, only focused on compensation **The Work Sample (1-3 hours)**

Actual work > interviews.

Examples:

- Engineer: Build a small feature, debug code, or solve a design problem
- Product Manager: Analyze a metric and recommend action, or write a brief strategy
- Sales: Have them sell to you, or analyze a customer interaction
- Design: Review a design, propose improvements

Pay them for this work. It's respect and screens for actual capability.

The Panel Interview (2-3 rounds)

Different people assess different dimensions:

- Technical lead: Can they do the work?
- Manager: Are they coachable? Do they add to culture?
- Peer: Will they be good to work with?
- Executive: Do they fit the company direction?

Each interviewer scores independently (1-5). Hire only if 4+ people rate 4+.

Phase 3: Reference Checks (What Was It Like to Work With Them?)

Most companies skip this or do it poorly.

Real reference checks:

- Call 3+ references (not just the ones they give you)
- Ask about: Strengths, weaknesses, how they handled conflict, what they'd improve
- Listen for hesitation (often tells you more than words)

Red flag: "Great person, but..." = they want to be nice, but there's a real issue

Phase 4: Close (Do They Accept?)

Once you've decided to hire:

- Move fast (competitive process)
- Be clear on role, expectations, compensation
- Address concerns
- Get them excited about mission, team, growth opportunity

Original Framework: The Org Design Matrix

Most companies hire to fill a hole. The Matrix approach is different: Plan the org first, then hire into it.

The Matrix answers: "What does our org need to look like to execute our strategy?"

Build the Matrix

In rows: Functional areas (Engineering, Product, Sales, Marketing, Finance, etc.) **In columns:** Seniority levels (IC-1 to IC-5, Manager-1 to Manager-3, Director/VP, Executive) **In cells:** Headcount + key responsibilities

Example for a \$10M ARR SaaS company:

{{CODEBLOCK0}}

Why this matters:

- It shows where you're under-resourced (looking at the matrix, you have no IC-5 engineers)
- It shows your management structure (1 VP-level manager per function is typical for this size)
- It forces you to think about growth intentionally

Now you can plan:

- Q1 Priority: Hire 1 IC-5 engineer to lead architecture
- Q2: Hire IC-4 engineer and manager in engineering
- Q3: Hire sales manager + 2 sales reps

Succession Planning from the Matrix

The Matrix also forces succession planning:

Key Person Risk:

If your VP of Sales leaves tomorrow, who steps in? If no one, that's a gap.

For every critical role (VP+), identify:

1. **Successor (Ready now):** Could step in tomorrow 2. **High potential (Ready in 1-2 years):** Needs development but clear path 3. **Pipeline (Ready in 3+ years):** Early career, showing potential
If you don't have #2 and #3, you have a risk.

Example:

- VP Sales: John (in role 2 years)
- Successor: Mike (manager, shipped 3 successful quarters)
- High potential: Sarah (IC-5 sales rep, learning management)
- Pipeline: James (IC-3 sales rep, learning system)

This means if John leaves, you can promote Mike immediately, support Sarah's transition, and recruit James's replacement at lower level.

Case Studies

Case Study 1: The Fast Hire That Slow Fired

Situation: A growing startup needed a VP of Engineering fast. Their engineering team was 5 people; they needed someone to scale to 20.

They were tempted by a candidate: VP at a larger company, impressive credentials, available immediately.

They skipped the work sample and went straight to close. Hired in 2 weeks.

What Happened:

- He arrived with opinions about "how engineering should work"
- But those opinions came from managing 100 engineers at a company with \$100M revenue and bureaucracy
- At a startup with 5 engineers, his approach was overkill (excessive process, slow decision-making)
- The team felt micromanaged
- He struggled with the startup pace and lack of resources

Month 8: He left. The role sat open for 3 months. The team had to rebuild trust. **What Would Have Changed:**

If they'd done a work sample: "Here's our codebase and our growth challenges. What would you do in year 1?"

His answer would have revealed his bias toward process over shipping. They would have found someone else.

Cost: \$400K+ (8 months salary + recruitment + opportunity loss)

Case Study 2: The 10-Year Succession Plan That Worked

Situation: A manufacturing company had a CEO who'd been in role 20 years, aged 62. Board wanted succession plan but CEO was avoidant.

They hired an advisor to force the conversation.

Year 1-3: They identified the internal successor: VP Operations, 15 years with the company, COO-track. **Year 3-5:** VP Operations gradually took on: Strategic planning, board meetings, supplier negotiations. CEO stepped back. **Year 5:** They hired a new VP Operations under the rising CEO's mentorship. **Year 7:** The original CEO became executive chairman (still involved, but not running operations). **Year 10:** The rising CEO became CEO. Everyone was ready. No drama. **Contrast:** Most companies don't plan. Founder gets hit by a bus. Chaos. Someone is appointed without real development. Three years later, they realize it was the wrong choice.

Case Study 3: The Reference Check That Saved a Hire

Situation: Engineering team loved a candidate. Great interviews, strong work sample.

During reference check, the hiring manager called the candidate's previous manager.

Manager was evasive: "He's smart, but... we had some issues we couldn't quite resolve."

Hiring manager pushed: "What kind of issues?"

Manager: "He doesn't take feedback well. When you disagreed with him, he'd either shut down or become defensive."

The hiring team was surprised (he seemed open to feedback). They called a second reference. Similar feedback.

They didn't hire. Candidate was upset; team was disappointed.

Six months later: Company hired that candidate elsewhere. Within 3 months, he'd alienated his new team because he wouldn't accept feedback on code style. They had to manage him out.

The reference check saved them 3 months of pain.

Implementation: 90-Day Onboarding

Hiring is half the job. Onboarding is the other half.

A weak onboarding (leaving someone to figure it out) means:

- 6-month ramp to productivity (instead of 8-12 weeks)
- Higher risk of departure
- Negative tone for the team

Week 1: Integration

- [] Day 1: Laptop, code access, documentation
- [] Meet the team (structured introductions)
- [] Overview of company, products, strategy
- [] Read key docs (architecture, roadmap, culture)

Week 2-4: Context

- [] Pair with team member on real project
- [] Ship first small contribution (shows system works, builds confidence)
- [] Weekly 1:1 with manager
- [] Attend customer call (understand who you're serving)

Month 2-3: Independence

- [] Lead first project (with support)
- [] 30-day check-in: "How's it going? What do you need?"
- [] 60-day check-in: "Are you ramped? Any concerns?"
- [] Grow relationships beyond direct team

90-Day Mark: Decision

Manager + hire have a clear conversation:

- "Are you happy here?"
- "Are we happy with your work?"
- "Any concerns on either side?"
- Clear commitment from both

If either side is hesitant, address it now. Better to course-correct in month 3 than month 6.

Templates

Hiring Rubric Template

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Org Design Matrix Template

{{CODEBLOCK2}}

Next Steps

This Month:

- Build the Org Design Matrix (what does your org need to look like?)
- Identify one key role with succession risk
- Hire one person using the full process (sourcing, screening, work sample, panel, references)

This Quarter:

- Implement the 90-day onboarding for your next new hire
- Complete succession plans for all director+ roles

This Year:

- Develop 2-3 high-potential people for bigger roles
- Build your hiring system until you can replicate it (even with new recruiters)

Hiring is how you compound. Great hires build the team, the culture, and the company. It's worth being obsessive about.